Coller International Partners VIII Private Equity Backed Notes 2020-1, Class A and B

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March 20, 2020

Executive Summary

This preliminary rating report summarizes Kroll Bond Rating Agency's (KBRA) analysis of the senior secured Class A Notes and Class B Notes (together the Notes) issued by a bankruptcy-remote special purpose entity (the Issuer) which has been organized by its sponsor, Coller Investment Management Limited (together with its affiliates, Coller), and which will make an investment in Coller International Partners VIII (the Fund or CIP VIII), as described below. This report is based on information provided to KBRA by Coller as of the date hereof. This report does not constitute a recommendation to buy, hold, or sell securities.

KBRA has assigned preliminary ratings of A- to the Class A Notes and BBB to the Class B Notes, utilizing our **Investment Funds Debt Global Methodology** published March 12, 2020. The preliminary ratings reflect KBRA's opinion regarding the likelihood of timely payment of fixed-coupon interest and ultimate repayment of principal. The key determinants of the preliminary ratings include both quantitative and qualitative factors.

Coller International Partners VIII Private Equity Backed Notes 2020-1			
Security	**Principal Amount**	**LTV / Asset Coverage**	**Expected KBRA Rating**
Class A Notes	$[250] Million	50% / 200%	A-
Class B Notes	$[75] Million	65% / 154%	BBB
Subordinated Notes	$[185] Million	100% / 100%	NR

Summary of the Notes and the Fund

The Notes		
Issuer	Bankruptcy-Remote Special Purpose Entity	
Note Classification	Class A Notes	Class B Notes
Issuance Amount	$[250] million (USD)	$[75] million (USD)
Modelled Coupon (Payable Quarterly)	[5]% fixed	[7]% fixed
Legal Maturity	15 years	15 years
Non-Call Period	5 years	5 years
Collateral	▪ Limited Partner (LP) interest and cash investment in the Fund; and ▪ Cash in the funded Debt Service Reserve Account (DSRA)	
Financial Covenants / Investor Protections		
Cash Funded Debt Service Reserve Account	▪ 2 years of Note interest ▪ 2 years of Administrative Expenses and Fees	
Annual Target Principal Amortization	None	
Liquidity Facility	5-Year facility + 1-year extension at the option of the Issuer, and additional extension upon mutual agreement	
Triggers for Sequential Principal Paydown (Triggers): No cures permitted	▪ LTV on the Notes exceeds 70% ▪ The Notes remain outstanding after 8 years post-closing ▪ More than 50% of the Notes remain outstanding at the end of year 6, post-closing ▪ The Issuer's Borrowing Base drops below $100 million ▪ The Fund's number of underlying fund investments drops below 50	

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The Fund	
Fund Name	Coller International Partners VIII, L.P. (Guernsey)
General Partner (GP)	Coller International General Partner VIII, L.P. (Guernsey)
Investment Manager	Coller Investment Management Limited (Guernsey)
Fund Target Size	$9 billion
Fund Term	10 years + further 1-year optional extensions (majority vote required)
Investment Period Term	5 years or 120% capital deployment
Fund Investment Guidelines/Restrictions	
Single Portfolio Company Maximum	7.5%
Fund Manager Maximum	50%
Non-Secondary Maximum	10%
US Real Estate Related Maximum	10%
Issuer Concentration Limitations	
Venture Strategy Maximum	20%
Maximum outside of North America, Australia, Europe and/or Japan	25%
Top 3 Fund Exposure Maximum	35%
Top 5 Fund Exposure Maximum	50%
Top 15 Fund Exposure Maximum	65%
Derivative Use	Only for hedging / risk management

Key Credit Considerations	+/–
Global Socioeconomic Factors KBRA continues to monitor the direct and indirect impacts of the COVID-19 virus on the investment fund sector. Please refer to KBRA's website for more details.	n/a
Asset Coverage The Class A Notes and Class B Notes are expected to have asset coverages of 200% (50% LTV) and 154% (65% LTV), respectively. Asset coverage on each class of Notes is expected to increase over time; 82.5% of the Fund's cashflows go to pay the Notes, which only account for 65% of Fund's capital structure.	+
Funded Debt Service Reserve Account & Liquidity Facility The Notes benefit from a funded DSRA, sized to cover two years of Note interest and expenses and a liquidity facility. These reserves are especially important during the Fund's ramp up period when capital has not been fully deployed. The DSRA and facility also help mitigate the risk of any non-linear distribution patterns inherent in private equity fund investments.	+
Transaction Structure The transaction is structured such that, in the absence of any Sequential Paydown Triggers, 63.5% and 19.0% of realizations from the underlying investments are allocated to the payment of the Class A and the Class B principal, respectively. These percentages represent a pro-rata split of 82.5% of all realizations between the Class A and Class B Noteholders. The remaining 17.5% of realizations are directed to payment of the Subordinated Notes. This structure will likely result in leakage to the Subordinated Notes. This risk is mitigated by the Triggers, summarized under Financial Covenants / Investor Protections in the preceding table describing the Notes. Once triggered, the sequential paydown cannot be cured.	-/+
Uncertainty on Distribution Size & Timing The private equity collateral backing the Notes does not generate cashflow on a fixed schedule. Investors in private equity, including Coller, are subject to the amounts and timing of distributions from the GPs managing the funds in which they invest. Unlike the cashflows from traditional fixed income securities, such distributions are not paid in fixed amounts nor on pre-determined dates. These timing uncertainties are offset by the inclusion of a reserve account and liquidity facility in the capital structure.	-

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Key Credit Considerations	+/–
Investment Manager has Extensive Experience in the Strategy Coller Capital has been a key player in the private equity secondary space since its founding in 1990. This will be the eighth and largest fund raised by the firm to-date. Coller has a strong track record of generating positive returns to its investors.	+
Alignment of Interests The GP will commit to co-invest a minimum of 1% of LP capital commitments in the Fund, which aligns the interests of the GP with LPs; in practice, Coller expects to make a 5-10% commitment to the Fund, with $300 million already committed; this is similar to its investments in predecessor funds. Coller itself will also hold 100% of the $60 million junior class of Subordinated Notes (Manager Subordinated Notes). As the owner of the most subordinate layer of the Note structure, Coller itself absorbs the first-dollar loss.	+
Quality of Underlying Assets KBRA views the collateral of the Fund to be lower in quality than sub-investment grade credit assets with respect to risk of loss.	-
Potential Subordination to Liquidity Facility The Issuer is permitted to use a liquidity facility which would be senior to the Notes in the cashflow waterfall. While the facility will generate additional cost to the Issuer, draws on the facility may be used to pay amounts due on the Notes and to bridge capital calls.	-
Blind Pool of Collateral The Fund is in its early ramp-up stages and there is no certainty as to the final investment allocation. Coller has provided estimates to KBRA; however, the ultimate investment in the Fund may differ from Coller's assumptions in composition and performance. KBRA constructed an indicative portfolio using Coller's assumptions and further tested the performance of the transaction in the event the Fund's ultimate asset profile impacted the Notes.	-

Transaction Overview

The Issuer will issue $250 million of Class A Notes, $75 million of Class B Notes (both rated by KBRA) and $185 million of Subordinated Notes (unrated). Upon initial closing, the Notes will be fully drawn, and the Issuer will invest the proceeds of the Notes into the Fund. A portion of the proceeds will be placed in a DSRA held by the Issuer and dedicated to payment of interest and principal (at maturity) on the Notes and other fees of the Issuer. Noteholders will benefit from a perfected first-priority security interest in 100% of the Issuer's assets which comprises an LP interest in the Fund and the DSRA.

Proceeds of the Notes will be drawn by the Issuer on day one. The Issuer will apply the majority of the proceeds from the issuance of the Notes to make a cash investment in the Fund. CIP VIII will use the cash investment to finance a portion of its core business activities during the Fund's five-year investment period. The Fund will pay the Issuer a modelled [3.25]% yield for the use of the cash investment. This provides a consistent source of cashflow for the Issuer which can be used to pay interest on the Notes. When capital calls are made to the Issuer, this cash investment is used to meet those capital calls.

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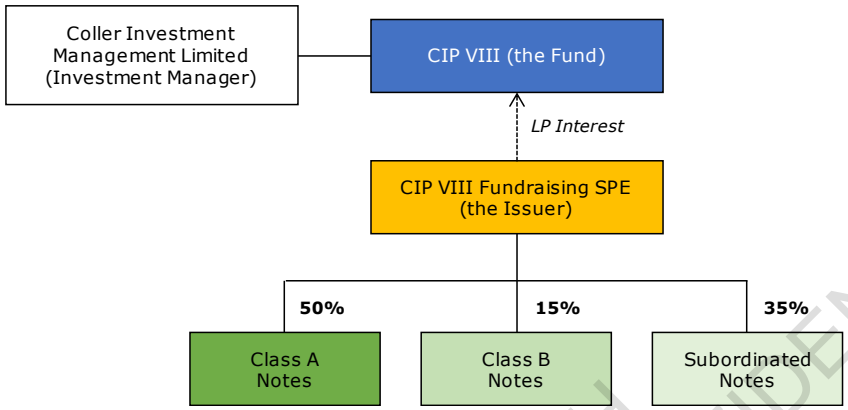
Transaction Structure

Figure 1.



Waterfall – Priority of Payments

Realized cashflows from the Fund's investments will be applied:

- First, to the payment of required capital calls (to the extent not covered by the Cash Investment);
- Second, to the payment of administrative expenses, including the Fixed Fee and the Administrative Fee, subject to an annual maximum;
- Third, to the payment of any interest expense, commitment fee and, if applicable, extension fee, due on the Liquidity Facility;
- Fourth, to the payment of interest on the Class A Notes, until such amount is paid in full;
- Fifth, to the payment of interest on the Class B Notes, until such amount is paid in full;
- Sixth, to the payment of any outstanding principal on the Liquidity Facility;
- Seventh, if the balance in the Reserve Account is less than the Target Balance, to fund the Reserve Account, up to the Target Balance;
- Eighth, to the payment of the Management Fee;
- Ninth, if no sequential paydown conditions are triggered, to the payment of principal of the Rated Notes, on a pro rata basis, in an aggregate amount of up to 82.5% of remaining Available Amounts after giving effect to the first eight priorities in the waterfall;
- Tenth, if any of the sequential paydown conditions are triggered, to the payment of the principal of the Class A Notes, until such amount is paid in full;
- Eleventh, if any of the sequential paydown conditions are triggered, to the payment of the principal of the Class B Notes, until such amount is paid in full;
- Twelfth, to the payment of administrative expenses, including the Administrative Fee, in excess of the annual cap; and
- Thirteenth, to the holders of the Investor Subordinated Notes ($125 million) until they have received cumulative distributions equal to their initial par amount;
- Fourteenth, to the holders of the Manager Subordinated Notes ($60 million) until they have received cumulative distributions equal to their initial par amount; and
- Fifteenth, to the holders of the Subordinated Notes, on a pro-rata basis.

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Events of Default

Events of default are considered customary to those in similar transactions including, but not limited to:

- Payment default (subject to applicable cure periods)
- Breach of representation or warranty (subject to customary qualifications and applicable cure periods)
- Termination of the Investment Manager
- Breach of covenants (subject to customary qualifications and applicable cure periods)
- Events of bankruptcy, insolvency, receivership, or reorganization of the Issuer
- Events of default under the Liquidity Facility (subject to customary remedies)

Collateral Overview

Investment Strategy

The Fund's investment strategy focuses primarily on achieving long-term capital appreciation through investments in privately negotiated investments acquired in the private equity secondary market. The Fund may also make investments into new funds, participate in private placements by public or private companies, and purchase shares in public companies as per its investment guidelines.

Coller has maintained a consistent investment strategy over time as can be seen in the strategic and geographic allocation of their prior funds as seen in Figures 2 and 3, respectively. CIP VIII is anticipated to ramp up to a similar composition as its predecessor funds, particularly the more recent CIP V, VI, and VII. Coller's historical geographic allocations have shifted over time based on market opportunities; Coller, however, has shifted away from an earlier venture sub-strategy after experiencing underperformance in this strategy in CIP V. Coller expects to remain conservative in any allocations to venture strategies. Coller's internal view on the risks associated with venture investments is further reflected in the ongoing borrowing base concentration limitation of 20%.

Figure 2. Coller Fund Historical Geographic Allocation

Fund Vintage	Fund Name	North America	Europe (ex-UK)	UK	Asia	Central / Latin Am	Mid East / N. Africa	Total
2006	CIP V	35%	31%	24%	8%	2%	0%	100%
2011	CIP VI	37%	33%	13%	9%	2%	5%	100%
2015	CIP VII	57%	22%	12%	7%	0%	1%	100%
Average		43%	29%	16%	8%	1%	2%	100%

Based on % splits by cost on a monthly average basis through 9/30/2019 for each fund

Figure 3. Coller Fund Historical Strategy Allocation

Fund Vintage	Fund Name	Buyout	Credit	Venture	Real Estate	Fund of Funds	Other	Total
2006	CIP V	48%	8%	35%	9%	0%	0%	100%
2011	CIP VI	89%	7%	2%	2%	0%	0%	100%
2015	CIP VII	77%	14%	4%	2%	1%	1%	100%
Average		71%	10%	14%	4%	0%	0%	100%

Based on % splits by cost on a monthly average basis through 9/30/2019 for each fund

Indicative Investment Portfolio

Coller's anticipated composition of CIP VIII (taking into account invetments already completed or currently in the execution stage) by the end of the first quarter of 2020 is shown in Figure 4. In addition to these planned

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investments, Coller has a pipeline exceeding $21 billion from which to identify additional opportunities. Coller expects the Fund's pipeline to remain strong, which should allow the Fund to maintain selectivity as it deploys capital.

Figure 4. Expected CIP VIII Investments Through Q1 2020

Investment	Deal Type*	Vintage(s)	Invested Capital	Current % of Total
Investment 1	Fund Book	1991-2019	$432,325,963	20.7%
Investment 2	GP-Led	2012	$398,038,713	19.1%
Investment 3	GP-Led	2012	$250,000,000	12.0%
Investment 4	Fund Book	2007-2013	$249,299,296	12.0%
Investment 5	GP-Led	2011	$224,339,992	10.8%
Investment 6	Fund Book	2014-2018	$196,587,580	9.4%
Investment 7	GP-Led	2017	$113,814,831	5.5%
Investment 8	Fund of Funds	2008	$76,316,112	3.7%
Investment 9	Co-Investment	2010	$50,259,968	2.4%
Investment 10	Fund Book	2008-2019	$34,864,343	1.7%
Investment 11	Co-Investment	2019	$25,109,621	1.2%
Investment 12	Co-Investment	2019	$12,446,591	0.6%
Investment 13	Primary	2019	$10,000,000	0.5%
Investment 14	Primary	2019	$5,000,000	0.2%
Investment 15	Primary	2019	$2,090,534	0.1%
Investment 16	Primary	2019	$1,023,020	0.0%
Investment 17	Primary	2019	$1,000,146	0.0%
Investment 18	Primary	2019	$1,000,000	0.0%
Total			**$2,083,516,711**	**100%**

**Deal Type Definitions:*
GP-Led: Involve restructuring of existing funds by sponsors to offer liquidity to LPs and to secure a time and capital for unrealized portfolio companies
Fund Book: Purchase of a collection of LP interests from a specific LP or fund
Co-Investment: Direct investment in a coinvest vehicle alongside another sponsor
Primary: Purchase of primary stake in a new fund

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Diversification Requirements

The Fund's diversification requirements are codified in the Fund's investment guidelines and are applied at the time of initial investment. Coller uses a pro forma approach to allocate investments as they ramp up their funds, looking to the anticipated final fund size as the ultimate driver of the allocations. Once the Fund is invested, there are no rebalancing requirements should certain assets appreciate or depreciate and change the investment balance within the Fund.

- No more than 7.5% invested in a single portfolio company (other than a fund)
- No more than 50% invested into funds managed by the same manager
- No more than 10% invested in non-secondary funds
- No more than 10% invested in real property, US REITs, US real estate development companies or investment funds whose primary objective is to invest in US real estate, US real estate investment trusts or US real estate development companies.

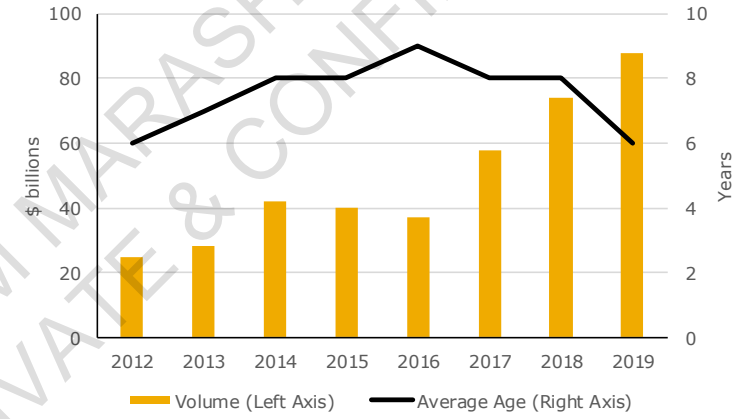
In addition to the investment diversification requirements above, the Notes also benefit from specific investment concentration limits over time. While these limitations do not specifically restrict investments, should any limitations be breached, amounts in excess of the limit will be excluded from the Fund's value with respect to LTV calculations. During the Fund's investment period the limitations will be measured relative to the greater of outstanding fair market value of the Fund's investments and committed capital amounts; during the post-Investment Period they will be measured relative solely to the fair market value of the Fund's investments. The ongoing investment requirements are listed below.

- No more than 20% invested in venture capital strategies
- No more than 25% invested into funds outside of North America, Europe, Australia, the UK, or Japan
- The three largest underlying funds can account for no more than 35% of the Fund's value
- The five largest underlying funds can account for no more than 50% of the Fund's value
- The fifteen largest underlying funds can account for no more than 65% of the Fund's value

Private Equity Secondary Market Overview

The market for private equity secondaries continues to grow. Transaction volumes have increased markedly over the past several years, growing from $25 billion in 2012 to $88 billion in 2019 (Figure 5). A large part of the market's growth has come from broader acceptance and willingness to actively manage private equity investment portfolios. In the initial years of the private equity secondary market, there was often a negative connotation to selling a private equity stake to another LP. Today, the practice has become broadly accepted as sellers rebalance their portfolios and access liquidity though secondary trades.

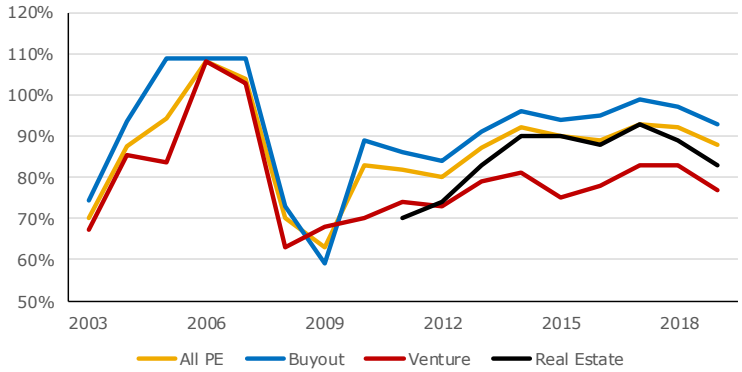
Figure 5. Historical Secondary Volume and Composition



Source: Greenhill, Global Secondary Market Trends & Outlook, January 2020

As transaction volume in the private equity secondary market has increased, so too has competition among sellers. In the early days of the market, double-digit discounts on positions were not uncommon; more recently, secondary pricing has compressed to single-digit discounts and, in some cases, positions are sold at premiums. Pricing is highly dependent on the underlying investment's individual characteristics, structuring considerations, and the motivation of the seller. While some secondary fund stakes are sold through competitive processes, a substantial number of secondaries are still bought and sold in privately negotiated deals which are highly customized and give more pricing power to buyers in many instances. Figure 6 shows historical secondary private equity pricing as a percent of Net Asset Value (NAV).

Figure 6. Historical Private Equity Secondary Pricing (% of NAV)



Source: Greenhill: Global Secondary Market Trends & Outlook, January 2020

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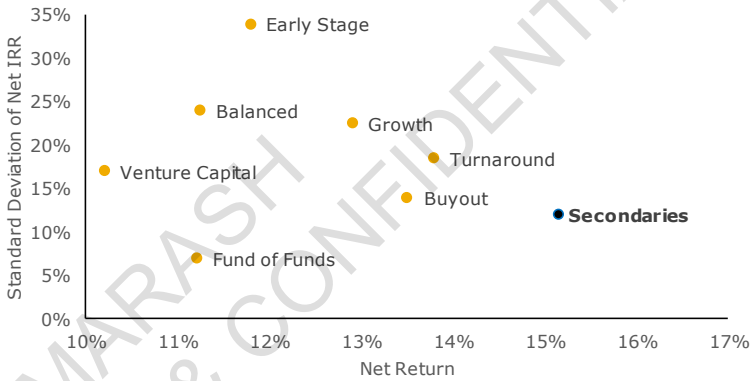
While it is a secondary market because investments are acquired from original purchasers, the private equity secondary market is relatively illiquid and lacks transparency. There are multiple barriers to selling LP interests, most notably the need for GP approvals for any ownership transfers. Furthermore, unlike the secondary bond market, there are rarely benchmark trades, no active trading, and no uniform market standards for valuation of private equity secondaries. , The average daily trading volume of U.S. corporate bonds reported by SIFMA in 2019 was $19.4 billion; by contrast, total private equity secondary volume for all of 2019 was $88 billion, equivalent to less than five days of trading in U.S. corporate bonds

Drivers of Secondary Fund Performance

A typical primary private equity investment includes a five-year investment period and an additional five-year realization period. This timeline is generally represented by the private equity j-curve. While primary private equity investors generally contribute capital over the initial life of the fund and then receive returns several years later, secondary private equity investors may avoid the same prolonged period of negative cashflow that occurs during a fund's investment period. In fact, as shown in Figure 5, the average age of a private equity secondary is approximately six years – after the typical five-year investment period. While performance is never guaranteed, purchasing a secondary LP interest can reduce uncertainty of outcomes as there is frequently more visibility on risk at later stages in the investment lifecycle. Figure 7 shows the relative risk-return profile of various investment strategies; secondaries have averaged greater returns and lower risk than other strategies and a key component of this outcome is investment timing.

Figure 7. Risk / Return by Fund Strategy (Vintage 2005-2015 Funds)



Source: Preqin Global Private Equity & Venture Capital Report 2019

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Investment Fund Rating Determinants

Asset Quality

KBRA analyzed individual investments within the indicative portfolio to assess the overall quality of the Fund's anticipated portfolio. In this case, the portfolio is expected to consist of secondary investments in private equity funds, which KBRA views as a complex and illiquid asset class. While these investments are known as "secondaries," they are still private equity interests. KBRA determined that the overall risk profile of the underlying portfolio is consistent with an Asset Quality score of "0".

Asset Coverage

Asset coverage on the Class A Notes is 200% (50% LTV) and asset coverage on the Class B Notes is 154% (65% LTV).

Liquidity

KBRA considered the liquidity profile of private equity investments. Relative to other asset classes with more active secondary markets and greater price transparency, there are a limited number of counterparties which have the requisite expertise to purchase private equity interests. This reduces the ability to convert these assets to cash without incurring losses. Therefore, KBRA considers liquidity risk as high for this transaction which is reflected in the scoring for this determinant.

Duration

KBRA used information provided by Coller on the average age of interests at acquisition for CIP I-VII. On average, Coller's managed funds purchase LP interests with 6 years of seasoning. Compared to the typical 10-year private equity fund life, this implies a remaining 4-year tenor of the Fund's assets. This analysis is consistent with the 3-7-year category for this determinant and is also in line with the current average seasoning of secondary purchases across the private equity secondary market as shown in Figure 5.

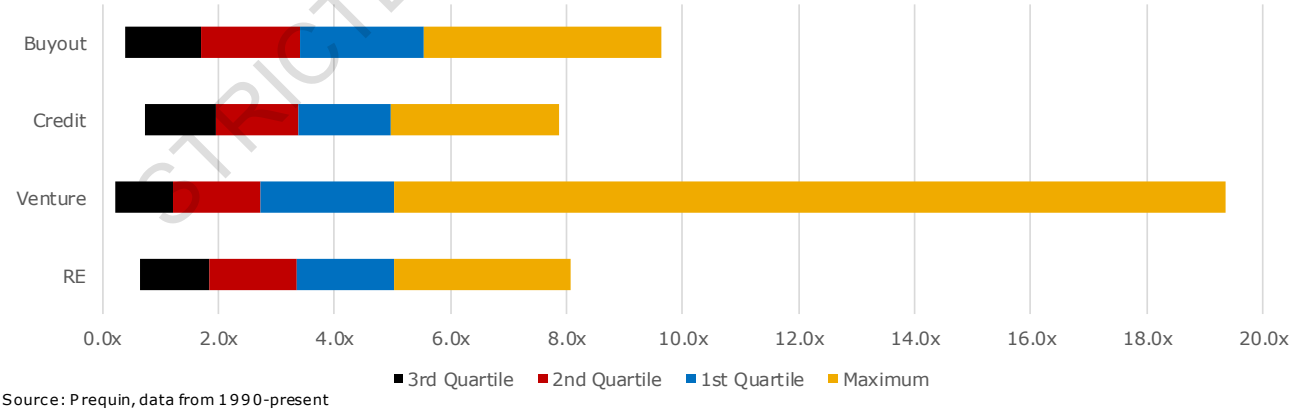
Cash Flow Analysis

KBRA analyzed the transaction's hypothetical cashflows, as provided in a model prepared by Coller. KBRA further determined the break-even multiple on invested capital (MOIC) rates and strategy allocation stresses such that interest and principal due on the rated Notes are still paid as structured.

The Issuer's ability to pay timely interest and ultimate principal on the Notes relies on cashflow generated by underlying private equity investments. Throughout the life of the transaction, in the absence of a Trigger, any cash realizations from the Fund's investments will be paid pro rata to Noteholders (after the payment of interest and fees) in the following proportions: 63.5% to Class A Noteholders, 19.0% to Class B Noteholders, and 17.5% to Subordinated Noteholders. Following a Trigger, the transaction switches to a sequential paydown such that the Class A Noteholders are paid in full prior to any distributions to Class B Noteholders (beyond interest) or Subordinated Noteholders. In benign markets, the Notes will likely pay down pro rata; however, investment performance and distribution timing could impact the paydown profile significantly.

KBRA focused on the MOICs of anticipated underlying investments which measure the nominal dollars of investment return without regard to timing. MOICs can vary widely across fund strategies and vintages; Figure 8 shows MOIC quartiles by strategy. The shape of the cashflow profile for each individual investment is unique and dependent on various external factors.

Figure 8. Private Equity Fund Strategies - MOIC Quartiles



Source: Prequin, data from 1990-present

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Cashflow Composition

KBRA Base Case Cashflows

KBRA constructed a representative indicative portfolio for CIP VIII using a combination of Coller's historical fund allocations and market performance data from Preqin. The analytical team looked to the average composition of CIP V, VI, and VII to guide allocations in the KBRA base case across geography and strategy (Figure 9). The geographical allocations in each of Coller's past three funds has varied; KBRA chose to allocate 35% to North America, 55% to Europe, and the remaining 10% to other regions in its base case cashflows.

Figure 9. KBRA Base Case Portfolio Allocation

Geography	Buyout	Credit	Venture	Real Estate	Total
North America	23%	4%	5%	3%	35%
Europe	37%	6%	8%	5%	55%
Other	7%	1%	1%	1%	10%
Total	67%	10%	14%	9%	100%
CIP V-VII Average	71%	10%	14%	4%	100%

KBRA analyzed historical performance data on private equity investments dating back to 1990, as reported by Preqin, to create an indicative cashflow profile based on the above allocations. For reference, historical MOIC's are shown in Figure 10, with weighted averages for the implied MOIC of the investments in the KBRA base case portfolio.

Figure 10. Average MOICs Based on Strategy and Geography

	Buyout	Credit	Venture	Real Estate	Weighted Avg*
North America	1.69x	1.34x	1.82x	1.26x	1.64x
Europe	1.77x	1.22x	1.43x	0.80x	1.58x
Other	1.16x	1.36x	1.13x	1.21x	1.18x
Weighted Avg*	1.68x	1.28x	1.54x	1.00x	**1.56x**

**Weighted Average based on assumed KBRA Base Case portfolio allocation (See Figure 10.)*

The KBRA base case weighted average MOIC ratios by strategy for the indicative portfolio are shown in Figure 11 with the corresponding performance quartile previously shown in Figure 8. Apart from the Venture strategy, these average MOICs, are on the lower end of the quartile performance spectrum. Coller Funds have generally performed in the first quartile, including CIP V (MOIC 1.5x) and CIP VI (MOIC 1.7x); Coller VII, launched in 2015, is currently ranked by Preqin as a second quartile fund. However, Coller VII held its final close in late 2015 and first drew capital in early 2016, placing this fund at the younger end of the range of its peer 2015-vintage funds, most of which held first closings in 2014. Coller generally aims for MOICs in the range of 1.5x to 1.7x for its funds.

Figure 11. KBRA Base Case - Weighted Average MOICs by Strategy

	Buyout	Credit	Venture	Real Estate	Portfolio
	1.68x	1.28x	1.54x	1.00x	1.56x
Quartile	3rd	3rd	2nd	4th	**3rd**

Capital Deployment

Like its predecessor funds, CIP VIII has a five-year Investment Period. Coller takes a flexible approach to its investment pace and, historically, has made investments throughout the five-year period without significant concentration in any one year. Using this observation, KBRA spread the assumed capital deployment in the base case cashflows consistently over the five-year period by dividing the strategy/geography allocations evenly over the 20-quarter Investment Period.

Seasoning of Investments

Historically Coller's underlying fund investments have been in the early years of their realization periods. Figure 12 shows the average age of assets (unweighted) at the time of purchase for each of Coller's past funds. Weighting by fund size, using CIP V, VI, and VII results in an average investment seasoning of 5.6 years. KBRA used this data point to anchor its base case cashflows on a scenario where all underlying investments were seasoned for 24 quarters, or 6 years. KBRA also ran alternative base case scenarios with different levels of seasoning to view sensitivity to this metric; these included additional scenarios with investment seasoning of 1 quarter, 8 quarters, 16 quarters, and 30 quarters.

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Figure 12. Historical Coller Average Investment Seasoning (Age at Time of Investment)							
	CIP I	CIP II	CIP III	CIP IV	CIP V	CIP VI	CIP VII
Average Age (years)	7.7	9.3	8.6	5.7	5.5	5.9	5.4
Fund Size ($mm)	$84	$240	$712	$2,594	$4,775	$5,456	$7,147

Investment Performance Correlation

KBRA performed a correlation analysis on the various fund strategies in order to further gauge how performance shifts will manifest across a diversified portfolio. Figure 13 shows each strategy is positively correlated with higher levels of correlation between performance of credit and buyout funds, real estate and buyout funds, and real estate and credit funds. Reflecting on these results, KBRA stressed each strategy simultaneously when analyzing cashflows.

Figure 13. Strategy Correlation				
	Credit	RE	Venture	Buyout
Credit	1.00			
RE	0.74	1.00		
Venture	0.56	0.66	1.00	
Buyout	0.89	0.77	0.57	1.00

Base Case Cashflow Assumptions

- 3-month LIBOR, used in the fee calculations for the Fund's liquidity facility, increases based on a forward LIBOR curve developed by KBRA to mimic a AAA stress environment
- The DSRA yields 0.00%
- The Cash Investments of the Issuer (which are utilized as a de facto capital call facility during the Investment Period) yield 3.25%, which will be paid by the Fund for the benefit of the Note holders

KBRA Base Case Breakeven Scenarios

In order to evaluate the impact of investment seasoning on the transaction, KBRA ran scenarios in which every investment was identically seasoned; the scenarios presented in Figures 14 and 16 show results for seasoning ranging from 1 to 30 quarters for the Class A Notes and the Class B Notes, respectively. The scenario where investments are seasoned 24 quarters (highlighted in the results tables), is most akin to Coller's past investment strategy and current market trends.

KBRA calculated breakeven multiples using two different methods: Overall Breakeven and Uniform Breakevens. Overall Breakevens apply a distribution haircut to each individual investment strategy, resulting in overall lower MOICs than an unstressed KBRA base case (MOIC of 1.56x as shown in Figure 10). The Uniform Breakevens equalize each individual strategy's MOIC to a single value, the Breakeven Strategy MOIC. These different stress cases produce cashflow profiles which activate different Triggers at different times and illustrate the resiliency of the transaction across a range of scenarios. Figure 15 shows the principal balance of the Class A Notes over time, assuming all investments are seasoned 24 quarters.

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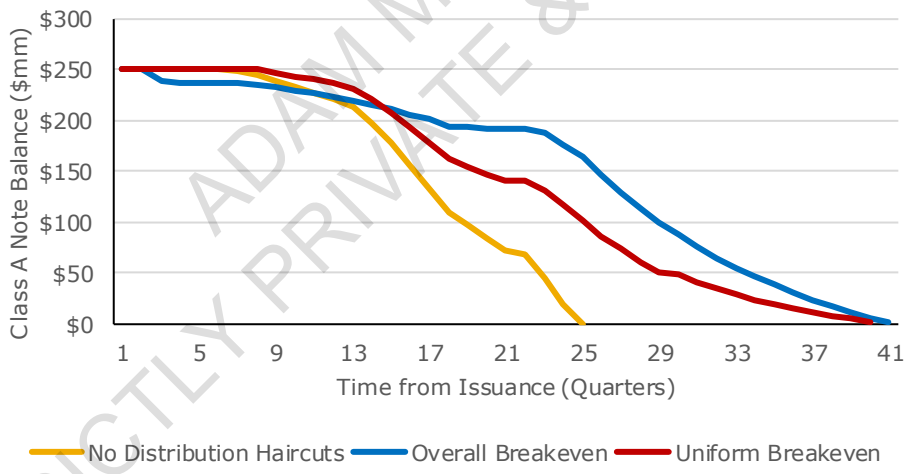
Figure 14. Class A Notes					
KBRA Base Case Allocation Overall Breakevens					
Seasoning of Investments (Qtrs)	1	8	16	24	30
Breakeven Distribution Haircut	17%	32%	41%	37%	32%
Resultant Fund MOIC	1.30x	1.00x	0.91x	0.82x	0.76x
Leakage to Equity	$0 mm	$0 mm	$13 mm	$23 mm	$18 mm
Liquidity Draws	0	0	0	0	0
Reserve Draws	16	9	7	4	4
Sequential Trigger	LTV	LTV	50% Amort	50% Amort	LTV
Sequential Trigger Year	2022	2022	2026	2026	2024
Class A Paydown Year	2030	2030	2029	2030	2029
KBRA Base Case Allocation Uniform Breakevens					
Seasoning of Investments (Qtrs)	1	8	16	24	30
Breakeven Strategy MOIC	1.11x	0.91x	0.79x	0.72x	0.70x
Leakage to Equity	$0 mm	$0 mm	$0 mm	$0 mm	$0 mm
Liquidity Draws	0	0	0	0	0
Reserve Draws	17	8	5	5	6
Sequential Trigger	LTV	LTV	LTV	LTV	LTV
Sequential Trigger Year	2022	2021	2021	2021	2021
Class A Paydown Year	2030	2030	2029	2029	2029

**24 quarter-seasoning scenario highlighted; akin to Coller historical purchases*

Figure 15. Class A Note Paydown Profile - KBRA Base Case (Investments Seasoned 24 Quarters)



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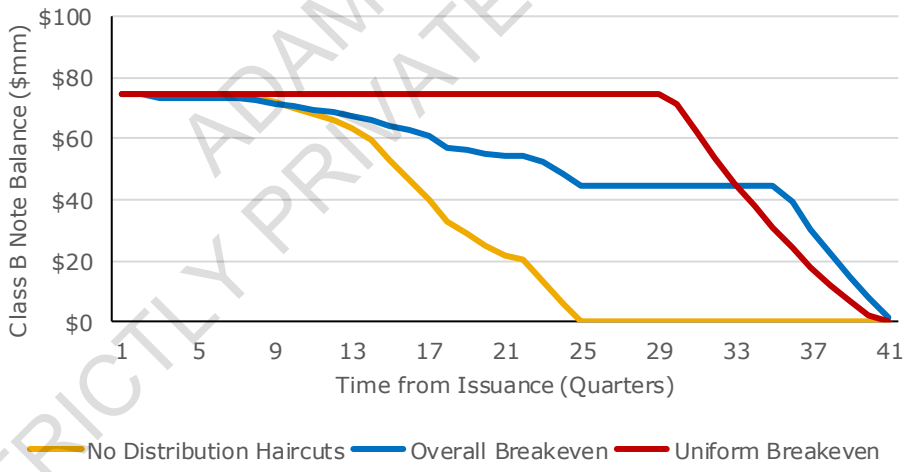
Breakevens for the Class B Notes are shown in Figure 16. Figure 17 shows the principal balance of the Class B Notes over time, assuming all investments are seasoned 24 quarters.

Figure 16. Class B Notes					
KBRA Base Case Allocation Overall Breakevens					
Seasoning of Investments (Qtrs)	1	8	16	24	30
Breakeven Distribution Haircut	10%	26%	36%	32%	25%
Resultant Fund MOIC	1.44x	1.14x	0.99x	0.91x	0.87x
Leakage to Equity	$0 mm	$0 mm	$16 mm	$27 mm	$31 mm
Liquidity Draws	0	0	0	0	0
Reserve Draws	16	7	5	4	4
Sequential Trigger	LTV	LTV	50% Amort	50% Amort	50% Amort
Sequential Trigger Year	2023	2022	2026	2026	2026
Class A Paydown Year	2029	2029	2028	2028	2028
Class B Paydown Year	2030	2030	2030	2030	2030
KBRA Base Case Allocation Uniform Breakevens					
Seasoning of Investments (Qtrs)	1	8	16	24	30
Breakeven Strategy MOIC	1.30x	1.05x	0.90x	0.83x	0.79x
Leakage to Equity	$2 mm	$0 mm	$0 mm	$0 mm	$0 mm
Liquidity Draws	0	0	0	0	0
Reserve Draws	16	7	5	5	6
Sequential Trigger	LTV	LTV	LTV	LTV	LTV
Sequential Trigger Year	2022	2021	2021	2021	2021
Class A Paydown Year	2029	2028	2027	2027	2027
Class B Paydown Year	2030	2030	2030	2029	2030

**24 quarter-seasoning scenario highlighted; akin to Coller historical purchases*

Figure 17. Class B Note Paydown Profile - KBRA Base Case (Investments Seasoned 24 Quarters)



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Manager Review

Historical Performance

Since inception in 1990, Coller has raised seven funds dedicated to secondaries. Four of these funds are fully distributed and the other three are in the harvesting phase. Figure 18 summarizes the performance of each of Coller's seven predecessor funds. Coller has invested approximately $19.5 billion across 164 transactions, representing interests in over 1,350 funds and exposure to over 7,000 underlying portfolio companies with a total value of $29.2 billion. In aggregate, Coller's fully realized investments show a 1.65x gross multiple and 17.9% gross IRR as of December 31, 2019.

Figure 18. Coller Historical Fund Performance (As of 12/31/2019)

Fund	CIP I	CIP II	CIP III	CIP IV	CIP V	CIP VI	CIP VII	CIP VIII
Vintage Year	1995	1998	2000	2002	2007	2012	2015	2020
Fund Size ($mm)	$84	$240	$712	$2,594	$4,775	$5,456	$7,147	$9,000
GP Commitment ($mm)	$1	$2	$21	$43	$275	$275	$647	n/a
Status	Distributed	Distributed	Distributed	Distributed	Harvesting	Harvesting	Harvesting	Investing
Net Multiple	1.6x	1.6x	1.5x	1.4x	1.5x	1.7x	1.2x	n/a
Net IRR	23%	25%	16%	12%	8%	16%	14%	n/a
Net Cash on Cash	163%	157%	153%	143%	144%	123%	12%	n/a

Manager Summary

KBRA has assigned a manager review score of "Strong" to Coller. The discussion below highlights key considerations underlying this score.

Management Structure and Ownership

On January 28, 2020, KBRA met with the Coller team in the firm's offices in New York to gather additional background on the firm and its operational profile.

Coller was founded in 1990 and is one of the world's leading investors in the private equity secondary market. Coller is an acknowledged pioneer and innovator in the secondary private equity market. Coller employs over 200 professionals across its offices in London, New York, and Hong Kong. Coller Investment Management Limited (CIM) serves as the manager of most Coller funds vehicles and is licensed and regulated by the Guernsey Financial Services Commission. Coller Capital Limited (CCL) is a non-discretionary investment adviser to CIM and is authorized and regulated by the Financial Conduct Authority in the UK. Coller Capital, Inc. (CCI) and Coller Capital (Hong Kong) Limited (CCHKL) provide non-discretionary sub-advisory services to CCL and are registered with the SEC and licensed by the Hong Kong Securities and Futures Commission, respectively. The relationships among these entities are shown in Figure 19. Given the oversight of several different regulators, Coller operates with an integrated global set of compliance policies, procedures, and arrangements which incorporate the relevant requirements and restrictions (even when only applicable to one of its group entities).

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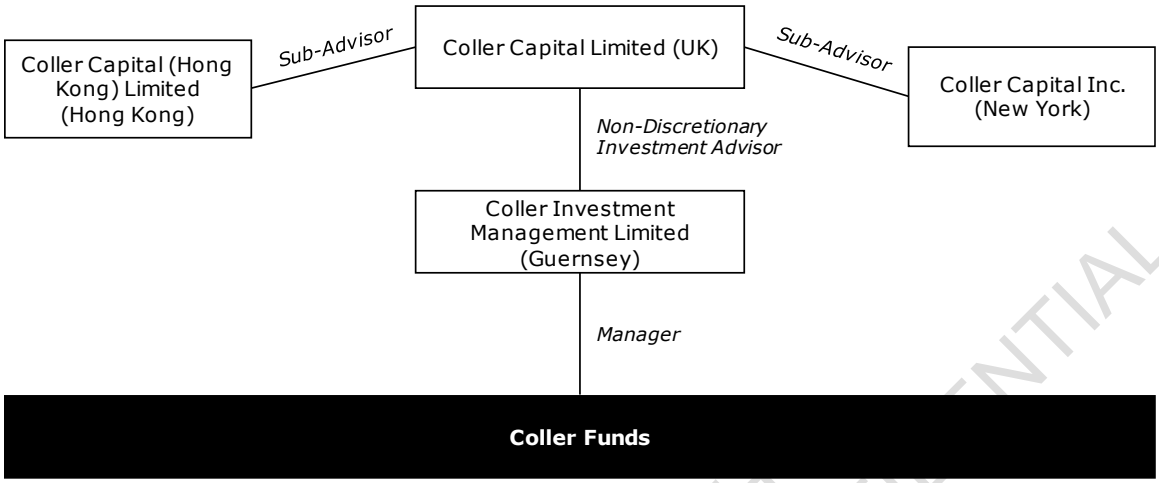
Figure 19.



Key Coller Personnel

- Coller's Executive Chairman and CIO, Jeremy Coller, is the founder of the firm. Mr. Coller spent five years at the ICI pension Plan and was one of the first to invest in private equity secondary transactions. Prior to that role, Mr. Coller served as the Head of Research at Fidelity International Investment Management in London. In December 2018, Mr. Coller was recognized by Financial News as one of the 50 most influential people in European Private Equity.

- The Head of Investment Management, Michael Schad, previously worked in the investment banking divisions at Deutsche Bank and Credit Suisse First Boston in London.

- Co-heads of Origination, Francois Aguerre and David Platter, both have prior experience in the private equity and investment banking sectors. Mr. Aguerre worked in the investment banking division of UBS in London, Gimar Finance and PAI Partners in Paris, and at Société Générale in New York. Mr. Platter was Vice Chairman of the Financial Institutions investment banking group at Credit Suisse; he has also held positions at Morgan Stanley, Donald, Lufkin & Jenrette, Bear Stearns and his own boutique investment banking firm.

- The CFO of the firm is Joe Mahon, who has been with Coller since 2001. Prior to joining, Mr. Mahon worked at Guernsey International Fund Managers Limited, where he was responsible for Coller's fund accounting. He is an Irish Chartered Accountant and trained as an auditor at PwC.

- The COO of the firm is Helen Lamb, who has been with Coller since 2008. Prior to joining, Ms. Lamb was Head of Consumer and Retail M&A at Dresdner Kleinwort.

Fund Investment Guidelines & Policies

Coller Funds have broad mandates in the secondary space and the firm's investment guidelines and policies allow for flexibility in a dynamic marketplace. Coller maintains fund concentration limits, which are measured at the time of investment and on a pro-forma basis. In general, the Coller investment guidelines are designed to achieve long term capital appreciation while avoiding significant exposure to single companies, funds or fund managers.

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To complement its investment guidelines, Coller is dedicated to responsible investment and has had an ESG policy in place since 2011. The firm is a signatory to the United Nations-supported Principals for Responsible Investment and encourages best-in-class ESG practices internally and with its GPs. In 2018, the firm received the BVCA's Responsible Investment Award and in 2019 the firm achieved climate neutral status. Jeremy Coller is a public advocate for ESG principles, and he has integrated these principles into Coller's investment decisions.

Investment Process

Coller sources many of its secondary opportunities through long-standing investor and manager relationships. For CIP VII, 79% of investments were relationship-led or bilateral. Because of its extensive network, Coller can directly source investments and provide creative solutions for investors looking to exit a position. Coller has a history of sourcing multiple opportunities from the same or related counterparties across its funds. Because Coller is one of the largest players in the secondary fund investment space, the firm is often approached by intermediaries proposing transactions. Coller's platform allows for diversity, flexibility, and a wide array of investment opportunities to screen and analyze.

Figure 20. Coller's Investment Management Cycle

When managing its robust pipeline of opportunities, Coller looks to five priority drivers: asset quality, relationship depth, difficulty of execution, anticipated competition, and investment size. New opportunities are then reviewed at weekly meetings and further prioritized before any additional review is undertaken – this ensures the resources of the firm are allocated efficiently and effectively. When an investment is prioritized it undergoes an intensive analysis focusing on valuation, manager quality, exit scenario analysis, fund terms, and pricing. Input on the opportunity is also provided by the firm's risk team and ESG team. In order to pass, an investment must have majority acceptance from the voting members of the investment committee and the CIO has a right to veto; this veto has historically been exercised in response to perceived ESG or reputational risks. Once an investment clears this committee it is then voted on by the relevant Coller fund's board or investment committee before proceeding. KBRA views this second layer of review as bolstering the overall investment process.

Investment Committee meetings include all members of the investment team (including risk and execution), the COO, CFO, and the Head of Legal and Compliance. Currently the five voting members of the Committee are Mr. Coller, Mr. Schad, Mr. Platter, Mr. Aguerre, and Mr. Mahon. Subject to restrictions for compliance or other purposes, all investment team members are welcome to participate in Investment Committee meetings; these meetings are held every Tuesday and attendance is mandatory for all Partners and Principals. KBRA positively views the additional transparency within the investment process.

Ongoing monitoring is the responsibility of both the investment team and a separate investment monitoring function within the Finance team. For its direct investments Coller negotiates for appropriate governance rights and closely monitors its investments.

Coller has a Post-Investment Governance and Intervention Committee (PIGI), a three-person committee which operates independently from any specific investment team, which meets on a regular basis to review the funds' portfolios. PIGI makes recommendations to the investment committee on any corrective actions they deem necessary. In instances where an investment is underperforming, the Coller team will work with either the GP or management team of their investment, as appropriate, to remedy any issues. Coller specifically provided KBRA with case studies where they took corrective actions in order to remedy unsatisfactory performance.

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Notably, Coller has detailed these experiences and lessons learned and used this information to refine their strategy going forward.

Risk Management & Compliance

Coller maintains an internal database for managing and monitoring its investments, which is run on proprietary software. Their systems are kept up to date through fund reporting, information received as part of potential investments, and third-party data sources including Bloomberg, Thomson Reuters, S&P Capital IQ, and Preqin.

In addition to its proprietary monitoring software, information on Coller's investors is also held securely by Northern Trust in Investran, an FIS private equity accounting and reporting system, and is regularly reconciled. All investor reporting and notifications are also held by Northern Trust and are made available to investors via secure portal. Any changes to information on these systems or more general IT updates are subject to appropriate controls and procedures. When Coller is developing and testing new technology they do so in a virtual local area network completely ring-fenced from the business operations.

Coller's applications are hosted offsite in a Tier 4 Data Center and, as a precautionary measure, has an alternative data center, which is tested daily for integrity. Only IT operations administrators have the authority and ability to access backed up data.

Coller has an internal Head of Cybersecurity and Facilities, who reports directly to the COO, and the firm works with an external consultant in the design and implementation of its cybersecurity measures.

KBRA views the written, formal compliance policies and procedures at Coller as appropriate for a firm of its size and caliber.

ESG Considerations

KBRA's ratings incorporate all material credit factors including those that relate to Environmental, Social and Governance (ESG) factors. While ESG factors may influence ratings, it is important to underscore that KBRA's ratings do not incorporate value-based judgments. Throughout our analysis, KBRA captures the impact of ESG factors in the same manner as all other credit-relevant factors. More information on ESG Considerations for the funds sector can be found in our report titled **Environmental, Social and Governance (ESG) Considerations by Sector: Funds**.

ESG factors which have an impact on this rating analysis include fund governance, which is highlighted in the Manager Review section of this memo.

Surveillance

KBRA maintains active surveillance on all Fund ratings for the life of each transaction. KBRA expects to receive detailed quarterly reporting. Surveillance includes the ongoing interest and principal payments, new assets, asset values, cash flows from collateral pool, other quantitative and qualitative metrics performance data, monitoring of news media, and reviews of post issuance events, as well as a full transaction review, which is generally conducted annually. A full review will entail a similar analysis as presented in this report.

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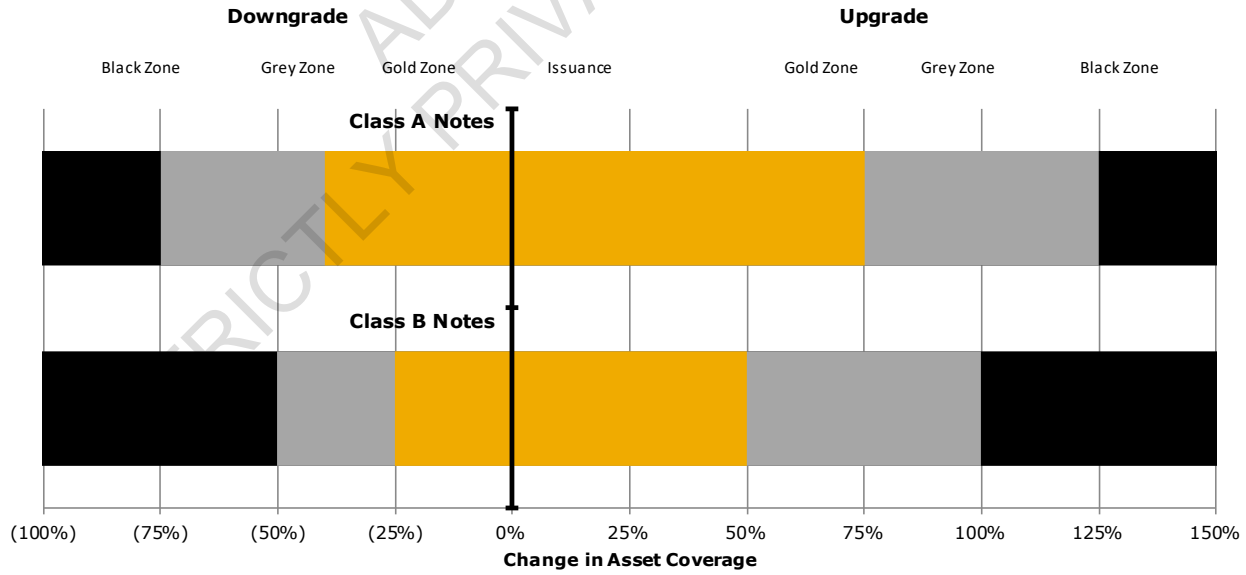
Ratings Sensitivities

Key Considerations	+/–
Significant Underperformance of Investments / Delays in Distributions Payment of interest and principal depend on distributions from underlying investments. Given these are private equity investments with no fixed payment schedule, significant delays in distributions or poor performance of the funds reducing distributions could impact the ability to make timely payments on the Notes.	-
NAV Appreciation of Underlying Assets Increases in NAV could significantly reduce LTVs related to each class of Notes, therefore increasing asset coverage on the Notes.	+
Delays in Capital Deployment Until the Fund invests its capital, the yield paid by the cash investment in the Fund is the primary source of cashflow for distributions to support the interest and principal payments on the Notes. While mitigants such as the reserve account and liquidity facility are in place, significant investment delays could impact cashflows, especially in the early years of the transaction.	-

Changes in asset coverage can occur throughout the life of a transaction. These variations can often be driven by changes to a fund's NAV, which can be due to actual or anticipated defaults and losses, as well as reassessment of the underlying asset values. The KBRA ratings process, however, incorporates a certain amount of tolerance to changes in asset coverage levels. The tolerance amount will vary depending on the rating category and the transaction's unique characteristics.

The graphic below illustrates the amount of tolerance incorporated into the ratings for this transaction and shows the likely amount by which asset coverage may change before KBRA considers making negative or positive rating adjustments to either of the Class A or Class B Notes. Should changes occur within the "Gold Zone", rating actions are unlikely, provided KBRA does not expect material changes in performance. Conversely, changes within the "Black Zone" will likely prompt rating actions.



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Disclosure

This rating report has been provided in relation to an unpublished, confidential rating and will not be published or otherwise made publicly available by KBRA.

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